

24PSCV04081 24PSCV04081

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Case Number: 24PSCV04081 Hearing Date: July 29, 2026 Dept: H

He v. Wang, et al., Case No. 24PSCV04081

ORDER ON MOTION

FOR SANCTIONS

Defendants

Michael Wang aka Xiaojing Wang, Yueh Ho, Eva Wang, Sinola Restaurant, LLC, and

Crossgates Property LLC's Motion for an Order Imposing Sanctions Against

Plaintiff and her Counsel Pursuant to CCP § 128.7 is DENIED. The Court declines Plaintiff's request for expenses and attorney's fees

incurred in opposing the motion.

Background

Plaintiff Shan He ("Plaintiff") alleges as follows:

Michael

Wang a/k/a Xiaojing Wang ("M. Wang") and Yueh Ho ("Ho") are married and both trustees and beneficiaries of the H&W Family Trust dated September 25, 2023 ("Trust"); Eva Wang ("E. Wang") and Patrick Wang ("P. Wang") are M. Wang's adult children and Trust beneficiaries. M. Wang is the owner, president, chief executive officer and sole or majority shareholder of Sinola Restaurant, LLC ("Sinola") and the owner, president, chief executive officer and sole or majority shareholder of Crossgates Property LLC ("Crossgates").

Between December 2016 and January 2017, Plaintiff

loaned \$1,000,000.00 to M. Wang, who agreed to assist Plaintiff with the

application of a green card. On/about February 11, 2017, M. Wang executed a

"Payment Guaranty Agreement" ("February 11, 2017 Agreement"), wherein M. Wang agreed to repay Plaintiff \$1,000,000.00 within 6 months of one of the following events occurring: (1) Plaintiff obtaining her official green card; (2) Plaintiff withdrawing her application for green card or (3) Plaintiff's green card application being denied "for reasons of the company (Sinola Restaurant LLC) or the U.S. government." The Agreement further provided that M. Wang guaranteed the repayment with his personal property and Sinola's assets and that he would pay interest of \$20,000.00/year to an account designated by Plaintiff by December 31 of each year.

In October 2018, M. Wang paid Plaintiff interest for the years of 2017 and 2018, in the amount of \$40,000.00. Plaintiff subsequently decided to withdraw her green card application and formally notified M. Wang of same on November 9, 2018. Plaintiff and M. Wang reached an agreement on/about November 15, 2018, wherein M. Wang confirmed that the green card application was withdrawn as of November 15, 2018. M. Wang agreed that, per the February 11, 2017 Agreement, he should repay the \$1,000,000.00 within 6 months from November 15, 2018, but claimed to need more time, and so confirmed in writing that he would provide a written refund schedule with a specific timeline and dates.

M. Wang thereafter acknowledged his obligation to repay the monies (i.e., on/about December 18, 2018, May 5, 2019, May 11, 2020 and December 5, 2020). On/about January 20, 2021, Plaintiff discovered that M. Wang had blocked Plaintiff and her parents on all communication platforms, preventing her from locating and contacting him. Plaintiff's ability to act was constrained by COVID-19 restrictions between February 13, 2020-December 13, 2022 and by her mother's severe health issues from 2017-2024. M. Wang and Ho set up Trust to hide their assets from Plaintiff. In or about March 2024, Trust purchased real properties located at 5387 and 5395 Crossgates Avenue in Las Vegas; said properties were then transferred to Crossgates for zero value. Additionally, Sinola made transfers of money or property to M. Wang, Ho, E. Wang and P. Wang to avoid paying Plaintiff.

On April 9, 2025, Plaintiff filed a First Amended Complaint ("FAC"), asserting causes of action against M. Wang and Ho, individually and as Trustees of Trust, E. Wang, P. Wang, Sinola, Crossgates, and Does 1-25 for: (1) Breach of Written Contract (against M. Wang and Sinola), (2) Fraud (against all Defendants), (3) Breach of Personal Guarantee (against M. Wang and Sinola), (4)

Unlawful Distributions (against M. Wang and Sinola), (5) Actual Fraudulent Transfers (against all Defendants), and (6) Constructive Fraudulent Transfers (against all Defendants).

On August 7, 2025, the Court sustained M. Wang, Ho, E. Wang, Sinola, and Crossgates' demurrer to the second cause of action in Plaintiff's FAC, without leave to amend.

On March 3, 2026, Plaintiff filed a "Notice of Errata Re: First Amended Complaint" ("Notice of Errata"). On July 1, 2026, the Court ordered the Notice of Errata stricken.

A Post-Mediation Status Conference/Case Management Conference is set for September 17, 2026.

Legal
Standard

"By presenting to the court, whether by signing, filing, submitting, or later advocating, a pleading, petition, written notice of motion, or other similar paper, an attorney or unrepresented party is certifying that to the best of the person's knowledge, information, and belief, formed after an inquiry reasonable under the circumstances, all of the following conditions are met:

(1) It is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation.

(2) The claims, defenses, and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.

(3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.

(4) The denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief." (Code Civ. Proc., § 128.7, subd. (b).)

If a court determines

that the above subdivision has been violated, the court may impose an “appropriate sanction” upon the attorneys, law firms, or parties that have violated same or are responsible for the violation. (Code Civ. Proc., § 128.7, subd. (c).)

A

motion for sanctions must be made separately from any other motion and it must specifically describe the sanctionable conduct. (Code Civ. Proc., § 128.7, subd. (c)(1).) “A claim is factually frivolous if it is ‘not well grounded in fact’ and is legally frivolous if it is ‘not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law.’ In either case, to obtain sanctions, the moving party must show the party’s conduct in asserting the claim was objectively unreasonable. (*Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 189 [citation omitted].) A claim is objectively unreasonable if ‘any reasonable attorney would agree that [it] is totally and completely without merit.’” (*Id.* [citation omitted].)

“[W]hen establishing a claim is factually or legally without merit under Code of Civil Procedure section 128.7, it is not necessary to show the party acted with an improper motive or subjective bad faith. But the fact that a party does not actually believe in the merits of his or her claim is relevant to the issue whether sanctions are warranted in the particular case.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 449.)

Section

“128.7 sanctions should be ‘made with restraint,’ and are not mandatory even if a claim is frivolous.” (*Id.* at 448 [citation omitted].) Any awarded sanctions “shall be limited to what is sufficient to deter repetition of this conduct or comparable conduct by others similarly situated.” (Code Civ. Proc., § 128.7, subd. (d).)

Discussion

M.

Wang, Ho, E. Wang, Sinola and Crossgates (together, “Defendants”) move the Court for an order, pursuant to Code of Civil Procedure section 128.7, imposing sanctions against Plaintiff, Plaintiff’s counsel Hua Jiang (“Jiang”) and

Jiang's law firm, Van De Poel, Levy, Thomas, PLC, as follows: (1) issue and/or evidence preclusion sanctions (i.e., barring Plaintiff at trial from asserting or introducing evidence that her claims are not barred by the statute of limitations) or, alternatively, terminating sanctions (i.e., including the striking of Plaintiff's FAC and the dismissal of the case) and (2) monetary sanctions against Plaintiff's counsel in the amount of \$8,510.00.

Compliance with Safe Harbor
Provision

Defendants' counsel Jeffrey C.P. Wang ("J. Wang") represents, and/or the accompanying exhibits reflect, that on April 16, 2026, Defendants e-served Plaintiff with a "Notice of Intent to Seek Sanctions Pursuant to CCP § 128.7," enclosing a copy of the proposed motion and provided 23 days (i.e., the statutory 21 days, plus an extra 2 court days for e-mailing) notice requesting a withdrawal of the FAC prior to filing the motion.

The Court determines that Defendants have complied with the safe harbor provision.

Merits

Defendants assert that Plaintiff's FAC, and each cause of action therein, improperly contains factual allegations lacking evidentiary support on which her claims rise or fall; specifically, the allegation in Paragraph 31 in Plaintiff's FAC that "[o]n or about December 5, 2020 [FN], Wang again provided a written response explicitly admitting his duty to repay. . . ." Defendants assert that evidentiary proof of this allegation is essential for Plaintiff to prevail at trial; otherwise the statute of limitations bars her claims.

The Court finds that Defendants have not shown that Plaintiff's FAC was filed for an improper purpose or that it, as a whole, was indisputably without merit, either legally or factually.

Plaintiff's FAC asserts causes of action against Defendants for Breach of Written Contract, Breach of Personal Guarantee, Unlawful Distributions, Actual Fraudulent

Transfers, and Constructive Fraudulent Transfers. Plaintiff has alleged that between December 2016 and January 2017, she loaned \$1,000,000.00 to M. Wang, who agreed to assist her with the with the application of a green card (J. Wang Decl., ¶ 2, Exh. 1, ¶ 20); that on or about February 11, 2017, M. Wang executed a “Payment Guaranty Agreement” (“February 11, 2017 Agreement”), wherein M. Wang agreed to repay Plaintiff \$1,000,000.00 within 6 months of one of the following events occurring: (1) Plaintiff obtaining her official green card; (2) Plaintiff withdrawing her application for green card or (3) Plaintiff’s green card application being denied “for reasons of the company (Sinola Restaurant LLC) or the U.S. government” (Id., ¶ 2, Exh. 1, ¶ 21); that the Agreement further provided that M. Wang guaranteed the repayment with his personal property and Sinola’s assets and that he would pay interest of \$20,000.00/year to an account designated by Plaintiff by December 31 of each year (Id., ¶ 2, Exh. 1, ¶¶ 22 and 23); that Plaintiff subsequently decided to withdraw her green card application and formally notified M. Wang of same on November 9, 2018 (Id., ¶ 2, Exh. 1, ¶ 26); that Plaintiff and M. Wang reached an agreement on/about November 15, 2018, wherein M. Wang confirmed that the green card application was withdrawn as of November 15, 2018 (Id., ¶ 2, Exh. 1, ¶ 27); and that M. Wang agreed that, per the February 11, 2017 Agreement, he should repay the \$1,000,000.00 within 6 months from November 15, 2018, but claimed to need more time, and so confirmed in writing that he would provide a written refund schedule with a specific timeline and dates (Id.).

Plaintiff

has further alleged that on or about December 18, 2018, when Plaintiff requested repayment, M. Wang responded in writing, acknowledging his obligation to repay and requesting additional time to do so (Id., ¶ 2, Exh. 1, ¶ 28); that on or about May 5, 2019, M. Wang met with Plaintiff’s parents in person, further acknowledging his duty to repay (Id., ¶ 2, Exh. 1, ¶ 29); that on or about May 11, 2020, M. Wang reaffirmed in writing his commitment to repay the \$1 million, stating that he would at least use Sinola’s assets for repayment but required additional time (Id., ¶ 2, Exh. 1, ¶ 30); that “on or about December 5, 2020, Wang again provided a written response explicitly admitting his duty to repay but explained that he was financially constrained and needed more time” (Id., ¶ 2, Exh. 1, ¶ 31); that on or about January 20, 2021, Plaintiff discovered that M. Wang had blocked Plaintiff and her parents on all communication platforms, preventing her from locating and contacting him (Id., ¶ 2, Exh. 1, ¶ 32); that Plaintiff’s ability to act was constrained by COVID-19 restrictions between February 13, 2020-December 13,

2022 and by her mother's severe health issues from 2017-2024 (Id., ¶ 2, Exh. 1, ¶¶ 33-35); that M. Wang and Ho set up Trust to hide their assets from Plaintiff (Id., ¶ 2, Exh. 1, ¶¶ 63); that in or about March 2024, Trust purchased real properties located at 5387 and 5395 Crossgates Avenue in Las Vegas (Id., ¶ 2, Exh. 1, ¶¶ 67); that said properties were then transferred to Crossgates for zero value (Id., ¶ 2, Exh. 1, ¶¶ 67); and that additionally, Sinola made transfers of money or property to M. Wang, Ho, E. Wang and P. Wang to avoid paying Plaintiff (Id., ¶ 2, Exh. 1, ¶¶ 3 and 56).

Based

on the above allegations, Plaintiff's cause of action would have accrued as of April 15, 2019, such that the deadline to file a claim would have run on April 15, 2023 absent a basis for circumventing the statute of limitations. The underlying complaint was filed on November 27, 2024.

On May 21, 2025, Defendants

served Requests for Production of Documents on Plaintiff, including Request No. 5, which sought "[a]ny and all COMMUNICATIONS between YOU and WANG RELATED TO YOUR investment in SINOLA RESTAURANT." (J. Wang Decl., ¶ 5, Exh. 2, No. 5.) Plaintiff served written responses and supplemental responses. (Id., ¶ 6, Exhs. 3 and 4.) J. Wang represents that "[t]he documents did not include the 'written' response alleged in the First Amended Complaint, or any other document purporting to reaffirm anything set forth in the alleged guaranty, as pled in Paragraph 31 of the First Amended Complaint or otherwise." (J. Wang Decl., ¶ 6.) The Court notes that Exhibit 4 to J. Wang's declaration contains a communication date stamped "2021/12/5 04:23." Additionally, J. Wang represents that he deposed Plaintiff on October 7, 2025, during which time she referred to an electronic message, quoted and translated on the record at 94:21-95:20, which she contended constituted the writing in Paragraph 31 of the FAC.

Defendants fail to set forth the

contents of the writing Plaintiff asserts constitutes the writing in Paragraph 31 of the FAC, let alone provide the Court with any analysis supporting its position that the FAC was filed without factual and/or legal merit.

Based on the foregoing, Defendant's

motion for sanctions is denied. The Court declines Plaintiff's request for expenses and attorney's fees incurred in opposing the motion.

[FN] Defendants point out that

Plaintiff subsequently filed a Notice of Errata, correcting the date to December 5, 2021. On March 26, 2026, prior to filing this instant motion, Defendants filed a “Motion to Strike Plaintiff’s Notice of Errata in First Amended Complaint,” which the Court granted on July 2, 2026.